

13. INVALIDITY OF CONTRACTS

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

A.y. 2024/2025

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CONTRACTUAL INVALIDITY

VOIDNESS AND AVOIDANCE

A contract is invalid when it
is impacted by a significant flaw,
which impairs its legal
enforceability

**AVOIDANCE/
RESCISSION**
(nullité relative,
annullabilità,
Anfechtung)

**VOIDNESS/
NULLITY**
(nullité absolue,
nullità,
Nichtigkeit)

E.g., contract contrary to
mandatory rules

E.g., contract concluded
by a minor



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INVALIDITY OF CONTRACTS

Two main categories

Nullity of the contract: invalidity is meant to protect general/public interests

e.g., absence of an essential element of the contract (unlawfulness of subject matter, contract contrary to mandatory rules, public order, policy or moral).

Avoidance of the contract: invalidity is meant to protect private interests

e.g., legal incapacity, incapacity *de facto*, defects of consent

NULLITY

Nullity: The contract is invalid and is never capable of producing any legal effect.

Conclusion of the contract



EFFECTS OF AN INVALID CONTRACT

Avoidance: The contract is invalid but it is capable of producing its legal effects till the moment when the interested parties present a **claim** in court in order to avoid it

Conclusion of the contract

Invalid contract
Avoidable contract may initially produce legal effects

Effects
... but when avoidance is ascertained in court, these effects are treated as if they have never been produced

Restitutions

VALIDATION OF AN INVALID CONTRACT

Nullity:

Null contracts cannot be validated by anyone

(invalidity is meant to protect general/public interests)

Avoidance:

Avoidable contracts may be validated by the party entitled to claim the avoidance

(invalidity is meant to protect private interests)



VOIDNESS AND AVOIDANCE

General grounds of voidness/nullity may be categorised as follows:

1) DEFECTIVENESS OF THE AGREEMENT BETWEEN THE PARTIES

- it is merely apparent, lacking the parties' actual consent;
- it does not meet the formality requirement, if any (want of form);
- its subject-matter does not exist, or is not possible

2) ILLEGALITY AND IMMORALITY (illicit contracts)

- infringement of a mandatory rule, which prohibits both parties from entering into a contract;
- the agreement contravenes public policy (*ordre publique*), including morality (*contra bonos mores*)



ILLEGAL OR IMMORAL CONTRACTS

Kötz, Oxford,
ch. 33, para 4.1

**ILLEGALITY AND
IMMORALITY**
(illicit contracts)

**Breach
of a
mandatory
rule**

The judge's ruling regarding the consequences of violating the statutory rule **'depends on considerations of public policy in the light of the mischief which the statute is designed to prevent, its language, scope and purpose, the consequences to the innocent party and any other relevant consideration'**.

**Phoenix General Insurance
Co. of Greece S.A. v
Administratia Asigurarilor de
Stat [1987] 2 All ER 152**



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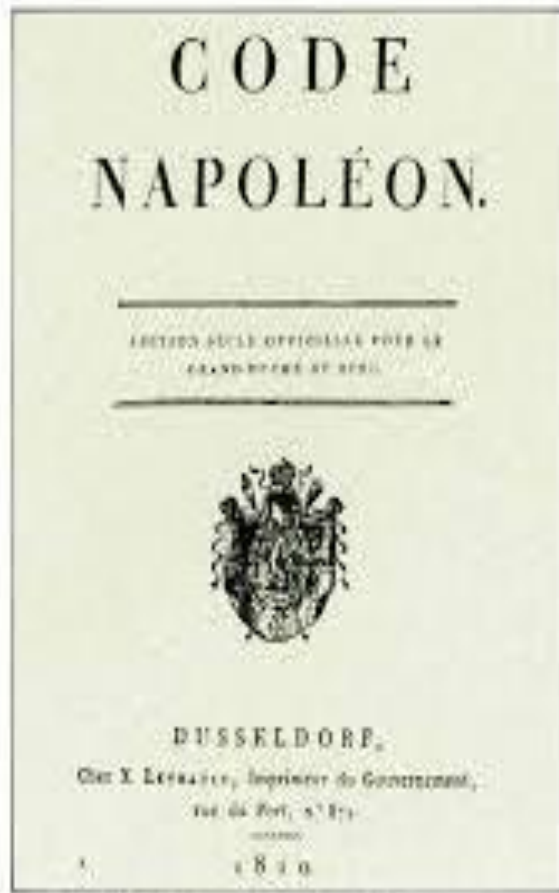
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LACK OR IMPOSSIBILITY OF THE SUBJECT-MATTER

Contracts whose specific performance is impossible are generally not enforceable in **civil law jurisdictions**

Common law jurisdictions tend to enforce such contracts: if a party has undertaken to do something which is physically impossible, it is bound to pay damages for breach of contract

LACK OR IMPOSSIBILITY OF THE SUBJECT-MATTER



Art. 1163 (as amended in 2016)

- (1) An obligation has as its subject-matter a present or future act of performance.
- (2) The latter must be possible and determined or capable of being determined.

LACK OR IMPOSSIBILITY OF THE SUBJECT-MATTER



Mc Rae v Commonwealth Disposals Commission
[1951] HCA 79

The owner of a tanker wrecked on the 'Jourmand Reef', near Samarai, and containing oil, sold it. The buyers went to Samarai and found that there was no such place as a 'Jourmand Reef'. Later on, it became clear that the seller incurred in a 'reckless and irresponsible' mistake, in thinking that it had a tanker to sell (it had relied on mere gossip). Nonetheless, **the High Court of Australia sentenced the seller to compensate damages for breach of contract.**

LACK OR IMPOSSIBILITY OF THE SUBJECT-MATTER

The view of the common law is taking root in civil law jurisdictions as well. Particularly, it has been adopted by the German BGB after its reform of 2001-2002



§ 311a Hurdle to perform at the time the contract is concluded

- (1) A contract is not devoided of its effects for the fact that one of the parties' performance is impossible already at the time when the contract has been concluded.
- (2) The other party can claim (expectation) damages or reimbursement of expenses [...]

AVOIDANCE

General grounds of avoidance may be categorised as follows:

1) INCAPACITY OF ONE OF THE CONTRACTING PARTIES

2) VITIATING FACTORS (*Willensmängel, vices du consentement, vizi del consenso*):

- mistake (*Irrtum, erreur, errore*)
- deceit or fraud (*arglistige Täuschung, dol, dolo*);
- duress (*Drohung, violence, violenza*);

MISTAKE

Civil law jurisdictions

tend to favour an 'intention approach' to contract, which leaves more room for its avoidance based on a vitiating factor, particularly a mistake

Common law jurisdictions

tend to follow an 'expression approach' to contract, which immunizes it from 'unilateral' mistakes incurred by each party, unless they have been caused by a misrepresentation

MISTAKE IN CIVIL LAW JURISDICTIONS

The mistaken party can claim avoidance of contract in case:

1. the mistake is **material** (or **essential**): it must not be based on ancillary terms, but concern a main point of the contract;
2. the other party **knew of the mistake, or could have known of it**, had she/he acted in good faith

MISTAKE IN COMMON LAW JURISDICTIONS

A unilateral mistake does not affect the validity of the contract, however fundamental to the mistaken party's decision to enter into the contract.

An equitable remedy of avoidance (rescission) of the contract is granted in case the mistake was created by a misrepresentation made by the other party, or her/his agent, or a third party whose misrepresentation the other party had knowledge of.

SPICE GIRLS LTD V APRILIA WORLD SERVICE BV

March 4, 1998

Heds of agreement were reached between SGL and Aprilia for the latter to sponsor the Spice Girls tour of Europe and, on a more limited basis, the tour of the United States



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Aprilia agreed to pay or provide a sponsorship fee, guaranteed royalty fee and a royalty on each Spice Sonic scooter sold. Promotional material featuring the Spice Girls and the scooters was approved by SGL.

May 6, 1998



September 1998

Ms Alliwell told the others that she wanted to leave the group.

AWS informed SGL that it did not consider the departure of Ms Halliwell to constitute a breach of contract. Nevertheless AWS refused to make any further payment in favour of SGL.



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SPICE GIRLS LTD V APRILIA WOLRD SERVICE BV

A fax of 30th March 1998 contained express representations by SGL as to the commitment of each of the Spice Girls to the future implementation of all the terms of the heads of agreement as subsequently incorporated into the formal agreement.

The final Agreement has been concluded

Ms Alliwell disclosed that on both 3rd and 9th March 1998 she had informed the other four members of the Spice Girls that she intended to leave

The Spice Girls participated in a commercial shoot on 4th May 1998, which gave rise to a continuing representation by conduct that Aprilia had no reasonable ground to believe that any of the Spice Girls had an existing declared intention to leave.

May 6, 1998



SPICE GIRLS LTD V APRILIA WOLRD SERVICE BV

Is SGL liable to AWS under s.2(1)
Misrepresentation Act 1967?

1

“.. If A with a view to inducing B to enter into a contract makes a representation as to a material fact, then if at a later date and before the contract is actually entered into, owing to a change of circumstances, the representation then made would to the knowledge of A be untrue and B subsequently enters into the contract in ignorance of that change of circumstances and relying upon that representation, A cannot hold B to the bargain”

Romer LJ in With v O’Flanagan [1936]

2

“.. inducement and reliance may be inferred from the purpose of the representor, the nature of the statement and the fact that the contract was entered into”

It is sufficient that the misrepresentation is a material inducement.

“...I think that if it is proved that the defendants with a view to induce the plaintiff to enter into a contract made a statement to the plaintiff of such a nature as would be likely to induce a person to enter into a contract, it is a fair inference of fact that he was induced to do so by the statement...”

Smith v Chadwick (1884)



SPICE GIRLS LTD V APRILIA WOLRD SERVICE BV

Judgment delivered by the Court of Appeal

- 1 The Court of Appeal concluded that the representations, express or implied, in both the fax of 30th March 1998 and participation in the commercial shoot on 4th May 1998 were material inducements to AWS to enter into the Agreement on 6th May 1998. **It is inconceivable that AWS would have entered into those commitments had it been told of Ms Halliwell's declared intention to leave in September 1998. It might have entered into some other agreement with a view to cutting its losses.**
- 2 **SGL is liable to AWS under s.2(1) Misrepresentation Act 1967.**



DECEIT (FRAUD)

A deceit (or fraud) occurs when one of the contracting parties is intentionally induced into a mistake as to the prospective contract

**FRAUDOLENT
MISREPRESENTATIONS**
both in civil and common law jurisdictions

**SILENCE (NON-DISCLOSURE OF AN
INFORMATION)**
solely in (most) civil law jurisdictions (and
as a recent development)



DECEIT (FRAUD)

If correctly informed, the mistaken party would not have concluded the contract (*dolus causam dans*)

CLAIM FOR AVOIDANCE

Contract is not avoidable in case of laudatory puffery that no reasonable man would have taken literally (*dolus bonus*)

If correctly informed, the mistaken party would have concluded the contract, although on better terms (*dolus incidens*)

CLAIM FOR DAMAGES

Damages are to be assessed along the better terms which the mistaken party would have bargained, if correctly informed (expectation damages)



AVOIDANCE FOR DECEIT (FRAUD)

Avoidance is granted when the fraud is committed by the other contracting party (or her/his agent).

If it is committed **by a third party**, avoidance is granted when the other **contracting party knew** or must have known it

DURESS

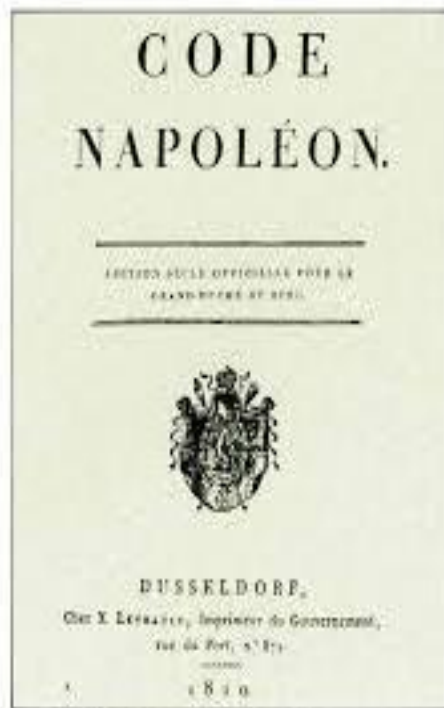
Duress consists in threats of a harm

**to a would-be party's or her/his family's life and limb, honour or property
or
to a would-be party's economic interests (economic duress)**

which do induce that would-be party to enter into a contract (in order to avert the danger thus faced)

DURESS

Does the legitimate threat of something that one is entitled to do amount to duress?



Art. 1141 (as amended in 2016)

A threat of legal action does not constitute duress, except where the legal process is deflected from its own purpose or where it is invoked or exercised in order to obtain manifestly excessive advantage

DURESS

In most civil law jurisdictions, avoidance is granted not only when the threats are made by the other contracting party (or her/his agent), but also when they are made by **a third party, even if the other contracting party was in good faith**

14. UNFAIR STANDARD TERMS

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STANDARD CONTRACTS

A company which repeatedly enters into certain types of contract develops its own standard conditions, which will be applied in all its relationships



- Efficiency
- Reduction of transaction costs



- Designed to protect the interests of the party who developed the terms

INFORMATION ASYMMETRY

George Akerlof, *The Market for Lemons: Quality Uncertainty and the Market Mechanism* (1970)

- The quality of goods traded in a market can degrade in the presence of information asymmetry between buyers and sellers
- E.g. market for used cars: There are good used cars ('peaches') and defective used cars ('lemons')
- The buyer of a car does not know beforehand whether it is a peach or a lemon
- The buyer will be willing to pay for the used car only the price of a car of known average quality



INFORMATION ASYMMETRY

George Akerlof, *The Market for Lemons: Quality Uncertainty and the Market Mechanism* (1970)

- The owner of a carefully maintained and good used car will be unable to get a high enough price to make selling that car worthwhile
- The owners of good cars will not place their cars on the used car market
- The withdrawal of good cars reduces the average quality of cars on the market



(adverse selection problem)



INFORMATION ASYMMETRY

The market for standard terms can be assimilated to the 'lemon market'

- Standard terms deal with contingencies that are not core to the transaction and are unlikely to occur
- A party confronted with them does not try to understand or negotiate them (because usually the costs outweigh the likely benefits)

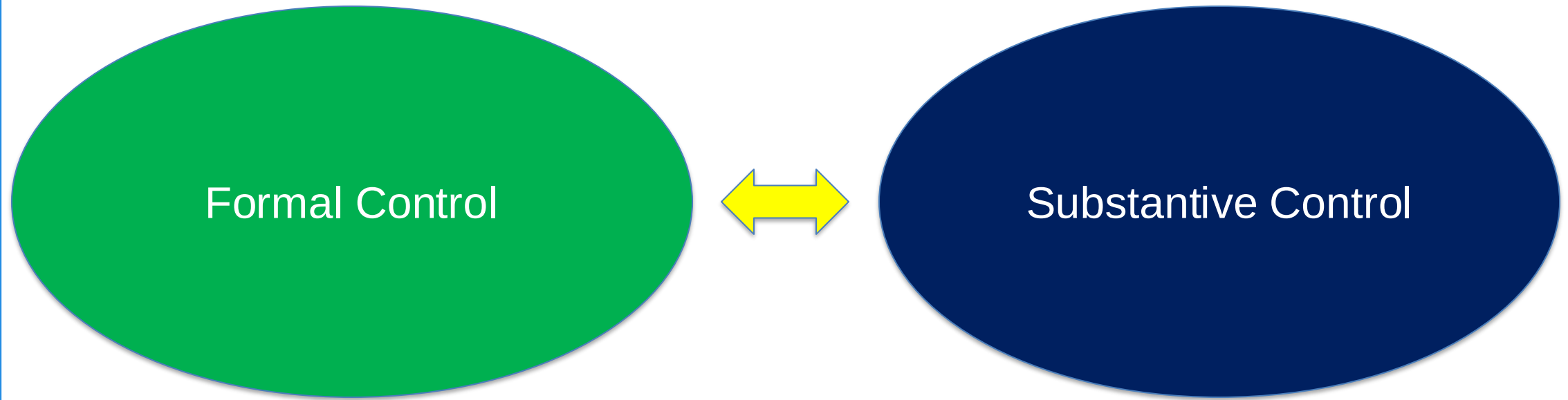


Bad clauses are likely to drive out the good ones



State intervention

UNFAIR TERMS: CONTROL SYSTEMS



Art. 1341 c.c. Unfair terms have no effect unless specifically approved in writing

§ 307 BGB Provisions in standard business terms are ineffective if, contrary to the requirement of good faith, they unreasonably disadvantage the other party to the contract with the user

EU CONSUMER LAW

Council Directive 93/13/EEC of 5 April 1993 on unfair terms in consumer contracts

- Consumers should be protected against one-sided standard contracts and the unfair exclusion of essential rights in contracts
- Member States must ensure that unfair terms are not included in contracts
- It is necessary to fix in a general way the criteria for assessing the unfair character of contract terms
- courts or administrative authorities of the Member States must have at their disposal adequate and effective means of preventing the continued application of unfair terms in consumer contracts

EU CONSUMER LAW

Council Directive 93/13/EEC of 5 April 1993 on unfair terms in consumer contracts

- 'Signing-without-reading-problem'
- Substantive control of contract terms
- Supplementary rules as a benchmark
 - Objectification of the community's idea of justice (L. Raiser)
 - Default rules apply to 'fill the gap'

UNFAIRNESS TEST

Article 3(1) provides for a general test, referring to 'good faith' and to a **'significant imbalance in the parties' rights and obligations** arising under the contract'

CJEU, 14 March 2013, Case C-415/11, *Mohamed Aziz*

'significant imbalance' in the parties' rights and obligations arising under the contract'

*'it must in particular be considered **what rules of national law would apply in the absence of an agreement** by the parties in that regard'*

UNFAIRNESS TEST

Article 3(1): general test, referring to ‘good faith’ and to a ‘significant imbalance in the parties’ rights and obligations arising under the contract’

CJEU, 14 March 2013, Case C-415/11, *Mohamed Aziz*

‘contrary to the requirements of good faith’

*‘the national court must assess for those purposes whether the seller or supplier, dealing fairly and equitably with the consumer, **could reasonably assume that the consumer would have agreed to such a term** in individual contract negotiations’*

UKSC, 4 November 2015, *ParkingEye Limited v Beavis*

ParkingEye
car park management

2 hour max stay

Customer only car park

4 hour maximum stay for Fitness Centre Members

Failure to comply with the following
will result in a Parking Charge of **£85**



UKSC, 4 November 2015, *ParkingEye Limited v Beavis*

‘To that extent there was an imbalance in the parties’ rights. But it did not arise “contrary to the requirement of good faith”, because ParkingEye and the landlord to whom ParkingEye was providing the service had a legitimate interest in imposing a liability on Mr Beavis in excess of the damages that would have been recoverable at common law’ (para 107)

Would a consumer agree to such a term in an individual negotiation?

Lord Neuberger and Lord Sumption

*'The risk of having to pay it was wholly under the motorist's own control. All that he needed was a watch. **In our opinion, a hypothetical reasonable motorist would have agreed to objectively reasonable terms, and these terms are objectively reasonable**' (para 109)*

'There are many circumstances in life when the only way of being on time is to allow for contingency and arrive early. This is accepted by every motorist who uses metered on-street parking while shopping. The legal basis on which he is made liable for overstaying penalties is of course different in that case. It is statutory and not contractual. But the underlying rationale and justification is precisely the same, namely to ration scarce parking space' (para 110)



Dissenting opinion of Lord Toulson

*‘On the bare information which was placed before the court, I am not persuaded that ParkingEye has shown grounds for assuming that a party who was in a position to bargain individually [...] would have agreed to the penalty clause as it stood. [...] It has been suggested that managing the effective use of parking space in the interests of the retailer and the users of those outlets who wished to find spaces to park could only work by deterring people from occupying space for a long time. But **that is a guess. It may be so; it may not.** ParkingEye called no evidence on the point. But it is common knowledge that many supermarket car parks make no such charge.’ (para 314)*



UNFAIRNESS TEST

The Annex of the Directive 93/13/ECC contains an indicative and non-exhaustive list of the terms which may be regarded as unfair

Terms which have the object or effect of :

- (a) excluding or limiting the legal liability of a seller or supplier in the event of the death of a consumer or personal injury to the latter resulting from an act or omission of that seller or supplier;
- (b) inappropriately excluding or limiting the legal rights of the consumer vis-d-vis the seller or supplier or another party in the event of total or partial non-performance or inadequate performance by the seller or supplier of any of the contractual obligations, including the option of offsetting a debt owed to the seller or supplier against any claim which the consumer may have against him;
- (c) making an agreement binding on the consumer whereas provision of services by the seller or supplier is subject to a condition whose realization depends on his own will alone;
- (d) permitting the seller or supplier to retain sums paid by the consumer where the latter decides not to conclude or perform the contract, without providing for the consumer to receive compensation of an equivalent amount from the seller or supplier where the latter is the party cancelling the contract;
- (e) requiring any consumer who fails to fulfil his obligation to pay a disproportionately high sum in compensation

.....

CONSEQUENCES OF UNFAIRNESS

Article 6(1): Unfair terms shall not be binding on the consumer and the contract shall continue to bind the parties upon those terms if it is capable of continuing in existence without the unfair terms

- CJEU, 14 June 2012, case C-618/10, *Banco Español de Crédito*;
- CJEU, 30 May 2013, case C-488/11, *Asbeek Brusse*

‘national courts are required to exclude the application of an unfair contractual term in order that it does not produce binding effects with regard to the consumer, without being authorised to revise the content of that term. That contract must continue in existence, in principle, without any amendment other than that resulting from the deletion of the unfair terms’

ENFORCEMENT

Art. 7(1): 'Member States shall ensure that, in the interests of consumers and of competitors, **adequate and effective means** exist to prevent the continued use of unfair terms in contracts concluded with consumers by sellers or suppliers'

Actors:

- Consumers
- Administrative authorities
- Consumer organizations

INDIVIDUAL ENFORCEMENT

Individual litigation between traders and consumer calls for certain deviations from 'classical' civil procedural law

ECJ, 4 June 2009, Case C-243/08, *Pannon*

- The national court is required to examine, of its own motion, the unfairness of a contractual term
- A consumer may choose whether to take advantage or not from the declaration of unfairness
- The binding effect of the term is finally remitted on the consumer, who is considered the person in the best position to know which should be the outcome of the judge's assessment



PUBLIC OR COLLECTIVE ENFORCEMENT

The imbalance between the consumer and the seller or supplier may only be corrected by a positive action unconnected with the actual parties to the contract



- Actors: public authorities or consumer organizations
- Actions may be directed separately or jointly against a number of sellers or suppliers from the same economic sector or their associations (which recommend the use of particular standard terms)
- Main instrument: Injunction (Judgment prohibiting the continued use of the unfair term)